

Annexure A: Formal commitments offer

This is a formal offer by the Parties to provide an undertaking pursuant to s 87B of the CCA (the **Undertaking**).

8 The Undertaking would:

- (a) operate for a term of **five years** from the date the Proposed Transaction is completed; and
- (b) provide for annual audits by an independent auditor of compliance with the terms of the Undertaking and require the auditor to provide a copy of their report to the ACCC.

1.1 Distribution Agreement terms

9 The Undertaking would provide for the following:

- (a) The Parties agree that they will implement the competitiveness and benchmarking provisions under the Distribution Agreement.
- (b) The Parties may only amend the terms of the competitiveness and benchmarking provisions and the termination right provisions of the Distribution Agreement in limited circumstances and must be approved by the ACCC. The changes must be considered by the independent auditor who will prepare a report of their recommendation to the ACCC for the ACCC's consideration.

10 The competitiveness and benchmarking provisions of the Distribution Agreement will contain the following key features:

- (a) a detailed competitiveness framework which will require that the insurance products are competitive when compared against competitor products in Western Australia;
- (b) requirements for RACI (ie, IAG post-Proposed Transaction) to ensure that the insurance products marketed under the RAC brands are provided on terms, features and benefits which are not less favourable to members on an overall basis as compared to the terms, features and benefits of any comparable product it issues in Western Australia;
- (c) a detailed product pricing and design principles framework which sets out the principles by which IAG will design and price the products; and
- (d) a detailed competitive benchmarking process, whereby benchmarking is to occur annually.

11 The Undertaking would include, but not be limited to, termination rights exercisable where RACI (IAG) and RACWA are unable to resolve a dispute in relation to the competitiveness benchmarking provision and RACI (IAG) fails to comply in any material respect with its obligation to prepare and implement a remediation plan (exercisable eight years after the Commencement Date).

1.2 Commitments in relation to the acquisition of smash repair services

Smash repair service terms commitment

12 During the term of the Undertaking, IAG would not:

- (a) offer, require or request smash repair service providers in Western Australia comply with terms (whether in writing or not); or
- (b) seek to rely on or enforce terms included in existing contracts between IAG or RACI and smash repair service providers in Western Australia,

which:

- (c) require the smash repair service provider to work exclusively with IAG;

- (a) require the smash repair service provider to not accept work from other personal lines general insurers or penalise or disadvantage the smash repair provider for providing services to other insurers;
- (b) unreasonably restrict or limit the smash repair service provider's ability to provide services to other insurers, including where doing so would have an adverse impact on providing services to IAG; or
- (c) are materially less favourable to the smash repair service provider than terms under which services are currently provided to IAG or RACI in relation to prioritisation of work from IAG over work from other personal lines general insurers.

Repair service facilities commitment

- 13 IAG would commit to not own or control repair service facilities in Western Australia during the term of the Undertaking. This would be subject to some limited carve outs to allow IAG to acquire repair service facilities where, for example, the closure of those facilities would result in an area no longer having a local repair service facility.

Supporting commitments

- 14 The above commitments in relation to the acquisition of smash repair services would be supported by the following obligations:
- (a) IAG will give notice of the Undertaking to all repair service providers with which it engages in Western Australia during the term of the Undertaking;
 - (b) IAG will maintain a repair services register recording details of terms IAG offers to and agrees with smash repair service providers in Western Australia. The register will be promptly provided to the ACCC on written request and will be within scope of the audit process referred to in paragraph 8(b) above; and
 - (c) IAG will establish, maintain and follow a repair service complaints handling process.
- 15 The commitments outlined in paragraphs 12-14 above would apply to IAG's dealings with all smash repair service providers in Western Australia in relation to personal lines motor insurance claims in IAG's direct division (ie, Retail Insurance Australia), including repair service providers which have current agreements with RACI and/or IAG and repair service providers with which IAG may work on an ad hoc basis in all areas in Western Australia.